IX CHAPTER IX

BANKING SERVICES

Content:

Introduction- Meaning – Definition - Types of Accounts / Deposits-Modern Banking Services - Procedure to open an Account - Different forms used by banks.

Learning Objectives

- To understand the procedure for opening bank account
- To familiarize with different forms used in bank.
- To know various deposits available in banks

Introduction:

Every country's economy normally divided into three sectors viz., Primary Sector; Secondary Sector and Tertiary Sector. Primary sector consist of agricultural and its allied activities; Secondary sector consist of Industrial and its allied activities and Tertiary sector consist of Service sector which includes banking services, education, transport, insurance, health, information technology etc. Among them banking service is very important which connects all services and taking them towards a common goal called profit making. Unless banking services are strong, contribution from other services may become useless.

Do You Know?

This history of banking began with the first prototype banks where the merchants of the world, who made grain loans to farmers and traders who carried goods between cities. This was around 2000 BC in Assyria and Sumeria

Business is mainly conducted to mobilize funds. All the business entities regardless of its nature and size of commercial activities, aims to gain profits out of its operations. To carry on its day to day operations it meets various routine expenses and at the same time earns income out of its operations. Many a times these expenses were paid and incomes were received through cheques via banks. In this connection banks plays vital role.

Therefore, soon after its establishment, it becomes mandatory for the business unit to open a bank account from one or more banks for easy financial dealing. The banks not only render financial support but also help the business men by giving credit guarantee to creditors, issuing letter of credit during import trade and conducting credit enquires in case of credit sales, making e-payments, electronic fund transfers, internet banking, mobile banking etc.

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